EXECUTIVE SUMMARY

A. Introduction

Tuguegarao City was originally created on May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An Act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City." R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City Government of Tuguegarao for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the City in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The audit was focused on the different audit thrusts/areas issued by the Local Government Sector of the Commission.

B. Financial Highlights

The financial condition, results of operation, appropriations, allotments and obligations of the City Government of Tuguegarao for the year ended December 31, 2020, with comparative figures for CY 2019, are presented below:

	2020	2019	Increase / (Decrease)
Financial Condition			
Assets	3,744,065,734.93	3,427,482,941.10	316,582,793.83
Liabilities	587,306,705.41	452,785,418.79	134,521,286.62
Net Assets/ Equity	3,156,759,029.52	2,974,697,522.31	182,061,507.21
Results of Operation			
Income	1,126,713,464.15	1,048,262,291.06	78,451,173.09
Expenses	922,982,709.81	871,651,720.20	51,330,989.61
Net Income	203,730,754.34	176,610,570.86	27,120,183.48
Appropriations, Allotments and Obligations			
Appropriations - Current	1,251,278,635.51	1,702,336,084.00	(451,057,448.49)
Appropriation - Continuing	-	-	-
Allotments - Current	1,251,278,635.51	1,702,336,084.00	(451,057,448.49)
Allotments – Continuing	811,272,069.54	302,001,098.26	509,270,971.28
Obligations - Current	921,006,953.56	944,487,130.13	(23,480,176.57)
Obligations - Continuing	225,230,517.15	143,504,522.61	81,725,994.54

The funds received by the LGU and the funds transferred to other agencies and non-government and people's organization for CY 2020 with comparative figures for CY 2019 are shown below:

	2020	2019	Increase / (Decrease)
Funds Received from Other Agencies:			
Due to NGAs	P 259,536,028.67	P 13,988,297.43	P 245,547,731.24
Due to LGUs	0.00	9,200,000.00	(9,200,000.00)
Due to GOCCs	22,823,837.06	15,900,331.17	6,923,505.89
Funds Transferred to Other Agencies:			
Due from NGAs	P 1,000,000.00	P 476,713.27	P 523,286.73
Due from LGUs	10,371,500.00	2,950,000.00	7,421,500.00
Due from GOCCs	0.00	0.00	0.00
Due from NGOs/POs	2,684,933.00	7,904,608.00	(5,219,675.00)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2020 of the Tuguegarao City, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the Report.

D. Summary of Significant Findings and Recommendations

1. **Accounting and reporting guidelines on local roads asset management prescribed in COA Circular No. 2015-008 dated November 23, 2015 were not strictly observed by the concerned departments, thus the correctness of the balance of Road Networks Account of P263,367,985.14 could not be ascertained.**

   We recommended that the Local Chief Executive enjoin the concerned departments to implement the COA Circular No. 2015-008 dated November 23, 2015 to fairly present the book value of the Road Networks Account in the Financial Statements of the City Government.

2. **The correctness, accuracy and existence of the recorded Property, Plant and Equipment (PPE) Accounts, with a net book value of P1,855,821,813.51, could not be ascertained due to Management's failure to conduct complete physical inventory of its PPE, which is not in accord with Section 226 of Volume I of the Government Accounting Manual for Local Government Units and COA Circular No. 2020-006 dated January 31, 2020.**

We recommended that the Local Chief Executive require the Inventory Committee to conduct physical inventory of all the PPE of the LGU and thereafter, prepare the Report on the Physical Count of Property, Plant and Equipment (RPCPPE), a copy of which should be submitted to the Office of the Auditor. The RPCPPE shall be reconciled with the PPE records or ledgers maintained at the Accounting Office and any discrepancy/ies should be adjusted.

3. **Various payable accounts in the General Fund have debit balances totalling to (P24,438,688.76), casting doubts on the accuracy and the validity of the account balances presented in the Statement of Financial Position.**

   Moreover, there were various reconciling items totalling (P1,536,272.81) and account balances which were parked when the City adopted the e-NGAS totalling P6,341,058.12, were not analyzed and adjusted to its appropriate accounts.

   As this cannot be addressed by simply drawing a journal entry to reverse the debit balances of some payees, we recommended that the Local Chief Executive require the City Accountant and concerned heads of other offices to conduct a thorough analysis in order to determine the root cause of this irregularity. From this, the necessary courses of action should be done to correct the abnormal balances and the other reconciling items noted.

   We further recommended that the Accounting staff responsible in the recording of transactions, determine whether the payable account was credited to recognize the liability of the City prior to the debiting of the appropriate subsidiary payable account. Management should also ensure that the amount paid to the payees is equal to the amount of payable initially set up for the same transaction.

4. **School Buildings and Other Structures, Equipment, Furniture and Fixtures Accounts, with total net book value of P141,564,237.45, are carried in the books of accounts of the City Government, instead of these being transferred to the City Schools Division Office/Department of Education, which is contrary to Philippine Public Sector Accounting Standards 17 - Property, Plant and Equipment and COA Circular No. 2020-006 dated January 31, 2020.**

   We recommended that the Local Chief Executive enjoin the City General Services Office and City Accounting Office and a representative of the City Schools Division Office/DepEd, to conduct a physical inventory of the aforementioned assets and prepare an Inventory Report containing all information about the existing and serviceable assets for its eventual transfer to the City Schools Division Office.

   Further, we recommended that the Local Chief Executive coordinate with the Head of the recipient Agency for proper turn-over of the assets. Thereafter, the

City Accounting Office shall draw the necessary Journal Entry Voucher to derecognize the PPE to be transferred and furnish a copy of the JEV to the Schools Division Office/DepEd in order for the latter to record the same in their books of accounts. Other necessary documents pertaining to the assets should also be turned-over to them.

5. **Invitation to Bid, Notice of Award and Notice to Proceed of procured infrastructure projects were not posted in the agency website, contrary to the provisions of the Revised IRR of RA 9184, thus defeating competitiveness of bidding through extending equal opportunity for contracting parties and informing the public of the results of the procurement processes.**

   We recommended that the Head of the Procuring Entity require the BAC, through its Secretariat, to post the Invitation to Bid, the Notice of Award and the Notice to Proceed in the agency website for every procurement of infrastructure projects, through competitive bidding to be compliant with the Revised IRR of RA 9184 and for wider bid opportunities of private contracting parties, who are eligible and qualified to participate in competitive bidding and in informing the public of the results of the procurement processes.

6. **Contract agreements, together with the contract documents, for 18 infrastructure projects procured through public bidding were not submitted to the Office of the Auditor as required under COA Circular 2009-001 dated February 12, 2009, thus delaying review and evaluation of the contracts.**

   We recommended that the Management submit to the Office of the Auditor the perfected contract agreements for the 18 infrastructure projects to avoid imposition of the penalty clause embodied in Item 4 of COA Circular 2009-001 and suspension in audit of payments made.

7. **Several infrastructure projects programmed and funded out of the 20% Development Fund, Special Education Fund, Capital Outlay and Supplemental Budgets were not completed during the year, thus, the delay in the timely use of these facilities.**

   We recommended that the Management set its procurement for the projects programmed and funded by the 20% Development Fund at the earliest time and to fast track the implementation of all its programmed projects included in the Annual Investment Plan of the City in order for the constituents to enjoy the benefits to be derived therefrom.

8. **In the procurement of relief goods, and meals and snacks under emergency cases, the necessary requirements and procedures set under GPPB Circular No. 01-2020 were not strictly observed, thus, it cast doubts on the regularity of the procurement.**

We recommended that the Management strictly observe the provisions of GPPB Circular 01-2020 in all of its emergency procurement under the Bayanihan to Heal as One Act. Moreover, we required the submission of the lacking documentary requirements to the Audit Team for verification.

9. **Some disbursement vouchers for the payment of hotel accommodation were not supported with the list of names of individuals accommodated in the hotels, which is not in accord with Section 4(6) of PD 1445. Absence of the list casts doubts on the accuracy of the amount claimed and paid to the hotels. On the other hand, the claims of Sunflower Drive Inn, Balai Carmela and Zurcs Hotel for hotel accommodation were excessive.**

   We recommended that the Management submit the complete list of the names of the individuals accommodated in the hotels, indicating the period of their quarantine and the corresponding hotel room number, if practicable, to verify the accuracy of the cost of hotel accommodations charged to the City Government.

   With regard the initial computation of overcharging, the management of Sunflower Drive Inn, Balai Carmela and Zurcs Hotel were likewise required to explain their side. Presentation of proof to the contrary is encouraged. If determined that there is indeed overcharging, the concerned hotels/inn shall refund to the City the amount of overcharged cost of hotel accommodation.

10. **The available appropriations for the CY 2020 Local Disaster Risk Reduction and Management Fund totaling P152,835,978.20, was not fully maximized, with only P82,113,793.84 or 53.73% utilization rate as of December 31, 2020, thereby, leaving an unutilized balance of P70,722,184.36, hence, the fund remained idle and the purposes for which they were intended were not fully achieved.**

    We recommended that the Local Chief Executive enjoin the City DRRM Officer and other concerned implementing offices to fully utilize the fund and implement all budgeted projects identified in its Local Disaster Risk Reduction and Management Investment Plan. Moreover, we recommended that the CDRRMO act on the immediate preparation and approval of the investment plan for the NDRRM Fund so that the fund can be utilized to address the current needs of the City for disaster risk reduction and management.

11. **Several spaces in the third floor of the Tuguegarao City Commercial Center are unfinished and remained vacant, hence, the building is not fully utilized. Meanwhile, these vacant spaces could be used by four (4) barangays of Tuguegarao City, which rent spaces for their barangay halls.**

    We recommended that the Management utilize the unused portion of the third floor of the Tuguegarao City Commercial Center for use of the aforementioned barangays as their barangay halls. This will enable the City to provide for the

facility needs of the barangays, while protecting the interest of the City Government.

E. Summary of Total Suspensions, Disallowances and Charges as of Year-End

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P 264,789.14	P 0.00	P 0.00	P 264,789.14	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P 264,789.14	P 0.00	P 0.00	P 264,789.14	0.00%
Disallowances					
Prior Years	P14,972,834.72	P 0.00	0.00	P14,972,834.72	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P14,972,834.72	P 0.00	0.00	P14,972,834.72	0.00%
Charges					
Prior Years	P 0.00	P 0.00	P 0.00	P 0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P 0.00	P 0.00	P 0.00	P 0.00	0.00%

Disallowances totaling ₱13,358,351.36 are on appeal.

F. Status of Implementation of Prior Year's Audit Recommendations

Of the 25 audit recommendations embodied in the CY 2019 Annual Audit Report, eight (8) were fully implemented, 12 were partially implemented and five (5) were not implemented.